EXECUTIVE SUMMARY

A. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as a "Pueblo" along with the earlier towns, where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making, supplying particularly the whole province.

Iguig is a fourth-class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be a self-reliant, productive agricultural community, vibrant in trade and industry and well-known tourist destination where every Iguigueños can live peacefully and prosperously.

B. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2024.

The objective of the audit is to determine whether the resources of LGU – Iguig, Cagayan have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the LGU.

C. Financial Highlights

The highlights of the financial condition and results of operation of the Municipality of Iguig, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/(Decrease)
Assets	658,325,899.15	611,632,075.77	46,693,823.38
Liabilities	218,633,760.58	176,563,622.26	42,070,138.32
Government Equity	439,692,138.57	435,068,453.51	4,623,685.06
Income	178,201,695.25	169,835,059.80	8,366,635.45
Expenses	172,259,855.06	164,694,325.87	7,565,529.19
Net Income	5,941,840.19	5,140,733.93	801,106.26

D. Operational Highlights

The Municipality of Iguig, Cagayan is headed by the Municipal Mayor, Honorable Ferdinand B. Trinidad, and ably supported by the Vice Mayor and

Presiding Officer of the Sangguniang Bayan, Honorable Juditas L. Trinidad, and various officers and employees, as follows:

Particulars	No. of Personnel Complement
Permanent Employees	122
Elected	12
Coterminous	1

Programs, Projects and Activities (PPAs) completed in CY 2024

For CY 2024, the Municipality has substantially implemented 33 out of the 39 or 84.62 percent of the planned PPAs under the 20% Development Fund (DF).

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the Municipality of Iguig, Cagayan as of December 31, 2024 due to the misstatements aggregating to ₱127,343,329.18 on account of errors, omissions and improper accounting treatment of transactions that are considered departures from the IPSAS.

The audit of the financial statements of the Municipality of Iguig, Cagayan disclosed misstatements totaling to ₱127,343,329.18, in absolute value, which is material to modify the auditor's opinion based on the overall planning materiality of ₱3,445,197.10, summarized as follows:

Account	Assets	Liabilities	Revenue/ Expense	Total
Property, Plant and Equipment (PPE)	₱119,269,016.10			₱119,269,016.10
Flood Control Systems	348,925.00			348,925.00
Guaranty/Security Deposits Payable		₱285,257.52		285,257.52
Trust Liability-DRRM (Current)		446,174.13		446,174.13
Trust Liability-DRRM (Prior Years)			₱242,814.23	242,814.23
Other Maintenance and Operating Expenses			6,751,142.20	6,751,142.20
Total	**₱119,617,941.10**	**₱731,431.65**	**₱6,993,956.43**	**₱127,343,329.18**

As a result, the following accounts in the financial statements of the Municipality of Iguig, Cagayan were misstated as follows:

Account	Understatement	Overstatement	Observation No.
PPE		₱119,269,016.10	1
Other Maintenance and Operating Expenses		6,751,142.20	2
Advances to Special Disbursing Officer	₱6,425,550.00		
Communication Expenses	11,397.00		
Other PPE	23,258.45		
Office Supplies Expenses	78,566.35		
Honoraria	65,000.00		
Printing and Publication Expenses	21,635.00		
Registration Fees	5,000.00		
Repairs and Maintenance – Machinery and Equipment (ICT Equipment)	3,500.00		
Repairs and Maintenance – Transportation Equipment (Motor Vehicles)	68,828.00		
Rent Expenses	40,000.00		
Permit Fees	8,407.40		
Trust Liability-DRRM	688,988.36		3
Flood Control Systems	348,925.00		4
Repairs and Maintenance – Infrastructure Assets		348,925.00	
Guaranty/Security Deposits Payable	285,257.52		5
Repairs and Maintenance – Building and Other Structures	185,565.00		
Printing and Publication Expenses	99,692.52		
Total	**₱8,074,313.08**	**₱126,369,083.30**	

F. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2024, other than the bases for the modified opinion, that needs immediate attention and action by the Municipality of Iguig, Cagayan, are as follows:

1. **Trip tickets for disbursements of fuel, oil and lubricant expenses amounting to ₱7.195 million lacked relevant information contrary to Section 4 (6) of Presidential Decree (PD) No. 1445 and Section 3 of Administrative Order No. 239 dated September 15, 2008, indicating deficiencies in the maintenance of internal control and adversely affecting the reasonableness and regularity of the related expense account.**

   We recommended that the Management:

a. submit written justification and explanation on the noted deficiencies in the documentation supporting the payment of fuel, oil and lubricants, and/or Certification as to the legality and propriety of the utilization of the fuel, oil, and lubricants, subject to further evaluation of the Audit Team;

b. ensure that all information required in the trip tickets are completely indicated thereat in order to establish the validity of the said document in strict compliance to Section 4 (6) of PD No. 1445 and Section 3 of Administrative Order No. 239 dated September 15, 2008; and

c. adopt proper controls on fuel consumption and conduct briefing for all employees concerned on the preparation and use of trip tickets as the primary document to ensure that the travels are authorized.

2. **The Municipality was able to substantially utilize ₱22.544 million or 77.40 percent of the total 20% DF appropriations for CY 2024, which is in accordance with DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 1 dated November 4, 2020.**

   However, the full implementation of the remaining 6 PPAs amounting to ₱6.582 million from the total appropriations is yet to be made to optimally utilize the available funds and ensure the achievement of desired socio-economic development and environmental outcomes of the Municipality, in compliance with DILG-DBM JMC No. 2017-1 dated February 22, 2017.

   We commend the Management and the concerned Departments for the efficient and effective planning for the timely implementation of PPAs resulting in the implementation of majority of the PPAs, equivalent to 77.40% of the total 20% DF appropriations for CY 2024, in accordance with DBM-DOF-DILG JMC No. 1 dated November 4, 2020.

   We recommend that Management prioritize the implementation of the remaining PPAs to optimally utilize the available funds and ensure the achievement of desired socio-economic development and environmental outcomes of the Municipality, in compliance with DILG-DBM JMC No. 2017-1 dated February 22, 2017.

3. **Disbursements for projects which were procured through public bidding amounting to ₱5.658 million were not supported with complete documentary requirements prescribed under applicable provisions of COA Circular No. 2012 – 001 dated June 14, 2012; adversely affecting the validity and propriety of the transactions.**

   We recommend that the Management require the Municipal Accounting Office to submit the aforementioned lacking documentary requirements in conformity with

relevant provisions of COA Circular No. 2012-001 dated June 14, 2012, to enable the Audit Team to conduct proper evaluation of the subject transactions.

4. **Disbursements for meals and snacks and food supplies totaling ₱5.119 million were not supported with complete documentary requirements, which is not in accordance with Section 4 (6) of PD No. 1445, preventing the Audit Team from determining the validity and propriety of the transactions.**

   We recommend that the Management instruct the OIC – Municipal Accountant to ensure that all documentary requirements have been secured and attached to the disbursement vouchers before processing of payments to suppliers in strict compliance to Section 4 (6) of PD No. 1445.

   Moreover, we recommend that the identified lacking documentary requirements be submitted to the Audit Team to prevent the issuance of any suspension or disallowance in audit.

G. Summary of Total Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2024:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱10,000,000.00	-	-	₱10,000,000.00	
Current Year	-	-	-	-	
Total	**₱10,000,000.00**	-	-	**₱10,000,000.00**	
Disallowances					
Prior Years	₱3,236,525.00	-	-	₱3,236,525.00	
Current Year	-	-	-	-	
Total	**₱3,236,525.00**	-	-	**₱3,236,525.00**	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

H. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2024 Annual Audit Report are summarized as follows:

Implemented	19
Not Implemented	17
Total	**36**